IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 105(ND)/2022

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 74(ND)/2022

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

M/s. JALSA CLOTHINGLINE LIMITED

..... Petitioner Company No. 1/ Transferor Company No. 1

AND

M/s. GOLDEN SPARROW ENTERPRISES PRIVATE LIMITED

..... Petitioner Company No. 2/ Transferor Company No. 2

AND

M/s. BLUE OCEAN ENTERPRISE PRIVATE LIMITED

..... Petitioner Company No. 3/ Transferor Company No. 3

AND

M/s. OM DRISHIAN ADVISORY PRIVATE LIMITED

..... Petitioner Company No. 4/ Transferor Company No. 4

WITH

M/s. OM DRISHIAN INTERNATIONAL LIMITED

..... Petitioner Company No. 5/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Delivered On: 31.01.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	:	CA Vijay Kumar Gupta
For the IT Department	:	Mr. Puneet Rai, Sr. St. Counsel along with Mr. Nikhil Jain, Adv.
For the Regional Director	:	Ms. Shankari Mishra along with Ms. Niharika Tanwar, Advs.
For the OL	:	Ms. Tanuja Rawat, Adv.

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Second Motion Petition is filed jointly by M/s. Jalsa Clothingline Limited, (Petitioner Company No. 1/ Transferor Company No. 1), M/s. Golden Sparrow Enterprises Private Limited, (Petitioner Company No. 2/ Transferor Company No. 2), M/s. Blue Ocean Enterprise Private Limited, (Petitioner Company No. 3/ Transferor Company No. 3), M/s. Om Drishian Advisory Private Limited, (Petitioner Company No. 4/ Transferor Company No. 4) and M/s. Om Drishian International Limited (Petitioner Company No. 5/ Transferee Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme). The Registered office of Transferee Company is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.
2. M/s. Jalsa Clothingline Limited, (Petitioner Company No. 1/ Transferor Company No. 1) bearing CIN: U17200DL2016PLC291138 was incorporated on 16.02.2016, under the provisions of the Companies Act, 2013 as a Company limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office address of Petitioner Company No. 1 is situated at House No. 117, Sector 9, Opposite Sports Complex, Lal Jyoti Apartment, Rohini, Delhi-

110085. The Authorized Share Capital of the Company is Rs. 2,15,00,000/- and the issued, subscribed and the paid-up share capital of the Company is Rs. 15,01,040/- fully paid up.

3. M/s. Golden Sparrow Enterprises Private Limited, (Petitioner Company No. 2/ Transferor Company No. 2) bearing CIN: U51909DL2010PTC198006 was incorporated on 15.01.2010, under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office address of Petitioner Company No. 2 is situated at 58, SSI Industrial Area, G.T. Karnal Road, Delhi-110033. The Authorized Share Capital of the Company is Rs. 10,00,000/- and the issued, subscribed and the paid-up share capital of the Company is Rs. 2,90,000/- fully paid up.
4. M/s. Blue Ocean Enterprise Private Limited, (Petitioner Company No. 3/ Transferor Company No. 3) bearing CIN: U51909DL2012OPC232065 was incorporated on 25.02.2012, under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. Company and One Person Company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office of Petitioner Company No. 3 is situated at 58, SSI Industrial Area, G.T. Karnal Road, Delhi-110033. The Authorized Share Capital of the Company is Rs. 1,00,000/- and the issued, subscribed and the paid-up share capital of the Company is Rs. 1,00,000/- fully paid up.
5. M/s. Om Drishian Advisory Private Limited, (Petitioner Company No. 4/ Transferor Company No. 4) bearing CIN: U51900DL2015PTC275321 was incorporated on 13.01.2015, under the provisions of the Companies Act, 2013 as a Company limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office of Petitioner Company No. 4 is situated at 58, SSI Industrial Area, G.T. Karnal Road, Delhi-110033. The Authorized Share Capital of the Company is Rs. 1,00,000/- and the issued, subscribed and the paid-up share capital of the Company is Rs. 1,00,000/- fully paid up.

6. M/s. Om Drishian International Limited (Petitioner Company No. 5/ Transferee Company) bearing CIN: U74120DL2008PLC174687 was incorporated on 28.02.2008, under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office of Petitioner Company No. 5 is situated at 58, SSI Industrial Area, G.T. Karnal Road, Delhi-110033. The Authorized Share Capital of the Company is Rs. 30,00,00,000/- and the issued, subscribed and the paid-up share capital of the Company is Rs. 29,67,00,000/- fully paid up.
7. It is stated that the Transferee Company viz., **M/s. Om Drishian International Limited** has moved the necessary second motion Petition being **CP (CAA) – 105(ND)/2022** on 12.10.2022, connected with the first motion Application being **CA (CAA) – 74(ND)/2022**, before the National Company Law Tribunal, New Delhi.
8. The benefits of the Scheme of amalgamation of the Transferor Company with the Transferee Company to be achieved by the compromise or arrangement are as follows:

   (i) *The Board of Directors of Transferor and Transferee Companies are of the opinion that the business of Applicant Companies can be carried out more profitably and in an economical manner if the Transferor Companies are amalgamated with the Transferee Company and that it will be advantageous to consolidate the business and achieve economies of scale for growth and expansion.*

   (ii) *The principal factors based on which the above scheme of amalgamation has been proposed and approved by the Board of Directors of the Transferor and Transferee Companies are as under:*

   a. Consolidation and simplification of the Group Structure.

   b. Elimination of multiple companies in the group.

   c. Reducing operating and compliance costs.

   d. Achieving operational and management efficiency;

e. Achieving higher long-term financial returns and enhancing the financial strength that could not be achieved by the companies individually;

f. Reduction in duplication of systems and processes; and

g. Synergies arising out of Consolidation of business, such as, enhancement of net worth of the combined business to capitalize on future growth potential, optimal utilization of resources.

***(iii)** The Transferee Company has been the group's flagship entity and has a greater market standing and the management desires to retain its name.*

Upon the scheme becoming effective and without any further act or deed, the authorized share capital of the Transferor Companies shall be consolidated and merged into the existing authorized share capital of the Transferee Company and the authorized share capital of Transferee Company shall stand consolidated accordingly pursuant to the Scheme.

Upon the scheme becoming effective on and from the Appointed Date all Asset(s)/ Undertaking(s)/ property(ies)/ Liabilities(s)/ Encumbrances(s)/ contracts, deeds, bonds and other instruments, legal proceedings, employees and properties whether comprised in any undertaking or otherwise of the Transferor Companies and pursuant to the sanction of the Tribunal, without any further act or deed or matter or thing to be made, done or executed but subject to the changes affecting the same as on the Effective Date, shall stand transferred to and vested in the Transferee Company as a going concern so as to become the undertaking and property of the Transferee Company from the Appointed Date.

9. This Tribunal by its order dated 18.08.2022 dispensed with the requirement to convene the meetings of the Equity Shareholders, Unsecured Creditors and Secured Creditors of all the Transferor Companies along with the dispensation of the meetings of the Equity Shareholders and Unsecured Creditors of the Transferee Company and to convene the meeting of the Secured Creditors of the Transferee

Company as sought through the first motion application. On 30.09.2022, the meeting of 'Secured Creditors' of the Transferee Company was duly convened in accordance with this Tribunal Order dated 18.08.2022, in which Mr. Sharad Rajwanshi, acted as the chairperson of the meeting, Mr. Saurabh Gupta, acted as Alternate Chairman and Ms. Hema Kumari, acted as Scrutinizer of the meeting. Mr. Sharad Rajwanshi, chairperson of the meeting reported the result of the meeting to this Tribunal on 03.10.2022.

10. It is submitted by the Petitioners Companies that in compliance with the Order dated 25.09.2023 passed by this Tribunal, the Petitioners Companies duly filed an Affidavit of Service dated 16.10.2023 by confirming that the aforesaid Notices of the present Company Petition were published on 05.10.2023 in Business Standard (English) and Business Standard (Hindi) Delhi Edition. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities.
11. The Regional Director along with the Registrar of Companies vide it's report dated 01.03.2023 has not objected to the proposed scheme of the amalgamation but has made certain observations. The petitioner companies filed a reply dated 20.03.2023 in response to the observations made by the Regional Director and the Registrar of Companies, wherein the petitioner companies gave an undertaking to appropriately comply with the observations made by the Regional Director and the Registrar of Companies.
12. The Official Liquidator vide it's report dated 13.03.2023 submitted to this tribunal stating therein that they have no objection with respect to the present scheme of amalgamation.
13. Though notices were served to all the concerned statutory authorities and the paper publication was done consequent to the order passed by this tribunal on 05.10.2023. The Income Tax Department chose neither to make any representation nor has submitted any report, it is hereby assumed that the Income Tax Department has no objection with respect to the approval of the present Scheme of arrangement. Further, the

petitioner companies filed an Affidavit dated 08.04.2023 stating that all liabilities on account of Income Tax of whatsoever kind, nature and description and including those that arise on account of the amalgamation and in pursuance of the Second Motion Merger Petition filed by the Applicant Companies shall be taken care of by the Transferee Company and same is also mentioned in Clause 5.2 of the Approved Scheme of Amalgamation filed before this Tribunal.

14. All the Petitioner Companies shall account for in accordance with and as per the method of amalgamation prescribed in the applicable Indian Accounting Standard as notified under Section 133 of the Companies Act, 2013 read together with Paragraph 3 of the Companies (Indian Accounting Standard) Rules, 2015 and other accounting principles generally accepted in India.

    In this regard, Certified true copy of the Certificate obtained from the Statutory Auditors of all the Petitioner Companies under Section 230(7) of the Companies Act, 2013 confirming the accounting treatment proposed in the Scheme of Amalgamation is filed along with the Petition.

15. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Companies, no winding-up petition (including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies.

16. It is submitted by all the Petitioner Company that this Joint Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

17. **Analysis and Finding**

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Companies and the Transferee Company and the Scheme will be beneficial to the Transferor Companies, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Companies, Transferee Company, their respective shareholders, creditors, employees and all concerned.

iv. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in

the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation filed stated in Form CAA 8 along with the required fee as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date will be i.e., 01.04.2022 as finalised and confirmed by this Tribunal in the Scheme of amalgamation.

19. This Tribunal does further order:

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

20. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/105 (ND)/2022** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

Sd/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)